The 12th Lok Sabha was constituted on 10 March 1998, and a coalition led by the Bharatiya Janata Party (BJP) leader Atal Bihari Vajpayee was sworn in nine days later. It had a lifespan of 413 days, the shortest till date. The dissolution came in the absence of a viable alternative after the 13-month-old Bharatiya Janata Party-led government was ousted by one vote on 17 April, 1999. This was the fifth time the Lok Sabha was dissolved before completing its full tenure. On April 26, the then President of India, late K.R. Narayanan, dissolved the Lok Sabha and called for early elections. Vajpayee continued as the caretaker Prime Minister. As General Elections had previously been held in 1996 and 1998, those of 1999 were the third in 40 months. In the election of 1999 the National Democratic Alliance (NDA), a conglomeration of 32 right-wing centrist and regional parties, won majority of seats and A.B.Vajpayee was sworn in as the Prime Minister on 13 October 1999.

The highlight of the Vajpayee government's foreign policy was the Pokhran explosion on 11 May 1998 and the Kargil War. With the nuclear tests of 1998, codenamed *Shakti 1*–V, India proved to the world that she had developed nuclear capability to miniaturize nuclear weapons and mount warheads on Agni and Prithvi missiles. These nuclear explosions, however, earned criticisms from the world community, especially the United States, which imposed sanctions on India. The United States also pressurized the World Bank and the IMF and other international financial institutions to withhold new assistance. The nuclear powers organized themselves into Nuclear Suppliers Group (NSG) that decided how much and to whom nuclear materials, even for peaceful purposes, would be supplied. Hence, the United States denied any such hi-tech and scientific exchanges to India. However, due to increased activities of terrorists in Pakistan, the US stance towards India began to change and President Clinton visited India in March 2000. When President Bush assumed office in 2001, despite several irritants, he did not stop searching for avenues for new relationship with India. However, it was only after 9/11 attacks on the United States and the 13 December attack on the Indian Parliament in 2001 did Indo–US relationship take a new turn as both pledged to fight against international terrorism.

India's relation with Russia also improved and was followed by